

■ Diversified Trend Following in a Nutshell

The very concept of trend following means that you will never buy at the bottom and you will never sell at the top. This is not about buying low and selling high, but rather about buying high and selling higher or shorting low and covering lower. These strategies will always arrive late to the party and overstay their welcome, but they always enjoy the fun in between. All trend-following strategies are the same in concept and the underlying core idea is that the financial markets tend to move in trends, up, down or sideways, for extended periods of time. Perhaps not all the time and perhaps not even most of the time, but the critical assumption is that there will always be periods where markets continue to move in the same direction for long enough periods of time to pay for the losing trades and have money left over. It is in these periods and only in these periods that trend-following strategies will make money. When the market is moving sideways, which is the case more often than one might think, these strategies are just not profitable.

Figure 1.1 shows the type of trades we are looking for, which all boils down to waiting until the market has made a significant move in one direction, putting on a bet that the price will continue in the same direction and holding that position until the trend has seized. Note the two phases in Figure 1.1 separated by a vertical line. Up until April there was no money to be made in following the trends of the NZ Dollar, simply because there were no trends around. Many trend followers would have attempted entries both

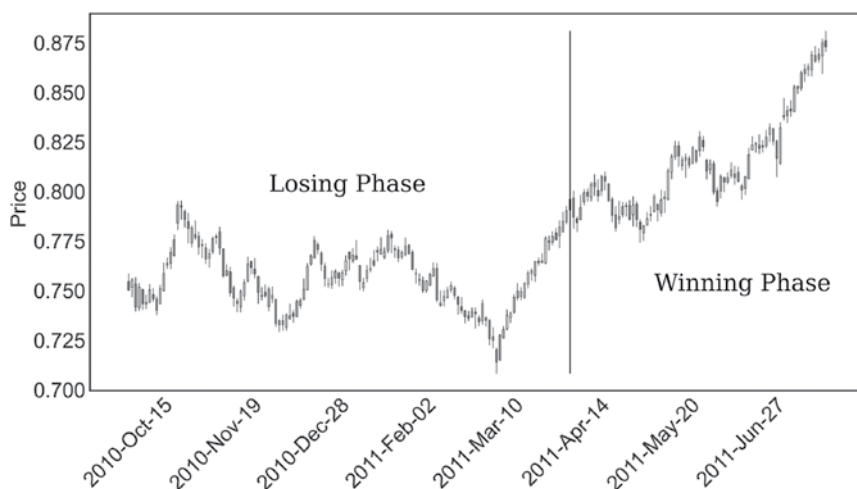


FIGURE 1.1 Phases of trend following.